

Strategic Case Study

Predicted Paper 7 - Suggested Answers

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Question 1(a) - PESTEL and Porter Five Forces analysis (14 marks)

The analysis should compare the existing Pakistan mobility market with the proposed GCC market. The Board should not assume that the GCC opportunity is automatically superior merely because average transaction values are higher. Both markets have attractive features, but their risk profiles are different.

PESTEL analysis

Factor	Pakistan mobility market	Proposed GCC market	Implication for KMCH
Political / regulatory	KMCH already understands key Sindh and Punjab regulatory requirements, but northern tourism may require local route permissions, insurance confirmations, guide arrangements and vehicle fitness compliance.	The GCC opportunity requires local mobility licensing, airport/hotel access approvals, labour-law compliance and local data / customer liability requirements.	Pakistan carries operational complexity but within a known environment. GCC has a higher compliance learning curve; acquiring GulfGate reduces entry friction but does not remove KMCH responsibility.
Economic	Demand is supported by urbanisation, domestic tourism and corporate mobility, but inflation, fuel, spare parts and finance costs pressure margins.	Higher revenue per trip and hotel / airport traffic may support margins, but staff, insurance and compliance costs are higher. AED/PKR exchange rates affect parent-company returns.	GCC could diversify earnings, but the NPV must include FX, remittance and local tax risk. Pakistan growth may be lower margin but more controllable.
Social	Adventure tourism is growing, but customers increasingly expect safety, reliable vehicles and professional route support.	Tourists and business travellers expect punctuality, clean vehicles, trained drivers and strong service recovery.	Both markets require service discipline. A failure in either, especially safety-related, could damage KMCH's premium positioning.
Technology	Telematics and digital booking are existing strengths, although depot-level workarounds and inconsistent reporting remain.	Hotel/airport system integrations, driver tracking and service reliability dashboards will be expected.	KMCH should not expand internationally until platform integration, data quality and cyber controls are robust.
Environmental	Long-route motorcycle tours may increase emissions, safety scrutiny and community impact.	Premium hospitality partners may expect lower-emission options and sustainability information.	Environmental claims must be supported by evidence; sustainability should be built into the operating model, not used only as marketing.
Legal	Insurance, customer licence verification, route permits and tourist-guide compliance are important.	Local tax, contracts, insurance, data protection, driver employment and customer liability rules require specialist advice.	Legal risk is higher in the GCC because KMCH lacks operating experience there. Contracts and due diligence are essential before commitment.

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Porter Five Forces

Force	Assessment	Implication
Competitive rivalry	Pakistan has strong rivalry from established rent-a-car brands, informal local operators and app-based entrants. GCC rivalry is also high due to local airport-transfer companies, hotel transport providers, taxis and ride-hailing platforms.	KMCH must compete on reliability, service control, hotel relationships and data-enabled operations rather than price alone.
Threat of new entrants	Digital entry barriers are falling in Pakistan. In the GCC, licensing, hotel relationships and local credibility create barriers, but well-funded local players can respond quickly.	KMCH's brand and systems may help, but neither market provides a long-term monopoly.
Buyer power	Corporate clients and hotels can negotiate aggressively. In GCC, hotel partners may have high bargaining power because they control customer flow.	Contracts should include minimum volume, service levels, price revision and payment terms; otherwise margins may be squeezed.
Supplier power	Vehicle suppliers, lessors, spare-parts providers and insurers influence costs in Pakistan. GCC suppliers include drivers, insurers, airport access providers and compliance advisers.	Cost escalation and supplier dependency should be included in pricing and contract terms.
Threat of substitutes	Ride-hailing, private cars, hotel shuttles, peer-to-peer rentals and public transport can substitute KMCH's services.	KMCH must justify its premium through safety, punctuality, reliability, integrated booking and corporate/hotel service levels.

Conclusion

The Pakistan market remains strategically important because KMCH has brand, fleet, systems and regulatory knowledge. The GCC market is attractive but higher risk. Therefore, the GCC opportunity should be treated as a limited pilot with strong due diligence, contractual protections and Board-approved risk limits, while domestic motorcycle growth should not proceed unless safety and operational controls are complete.

Question 1(b) - Evaluation of strategic options using SAF (12 marks)

The Board should compare the strategic options using suitability, acceptability and feasibility. The question is not whether each option has growth potential, but whether it fits KMCH's strategy, risk appetite, capabilities and financial capacity.

Option 1: Motorcycle adventure tourism in Pakistan

Suitability: This option uses existing motorcycles and links to Pakistan's growing domestic and inbound tourism. It can differentiate KMCH from ordinary rent-a-car operators and may strengthen the premium lifestyle image of the brand. It also fits KMCH's existing operating geography better than international expansion.

Acceptability: The option may be acceptable if margins are attractive and if safety is managed properly. However, the Board, customers, insurers and regulators may not accept rushed launches, weak route risk assessment or incomplete insurance cover. A safety incident would damage reputation more severely than a normal rental complaint.

Feasibility: Feasibility is currently not fully proven. Appendix 7 indicates that insurance confirmations, emergency-response arrangements, guide refresher training and full inspection documentation are still incomplete. The option should therefore proceed only through a phased launch after safety readiness is evidenced.

Option 2: GCC international opportunity

Suitability: The GCC opportunity offers market diversification, higher average transaction values, hotel/airport traffic and potential foreign-currency earnings. It may also help KMCH learn international hospitality-grade service standards. The acquisition of GulfGate reduces start-up risk because it already has local licences and hotel relationships.

Acceptability: The opportunity exposes shareholders to FX risk, local tax, withholding tax, overseas regulation and integration risk. It may be acceptable only if the acquisition price is not inflated by synergies that KMCH itself creates. Minority exposure through a 60% stake may balance risk and control, but KMCH must still protect brand reputation.

Feasibility: Feasibility is moderate. GulfGate provides a base, but KMCH has limited international operating experience and will need local legal, tax, HR and compliance support. The Board should use a limited pilot, not a full-scale regional expansion.

Option 3: Virtual depots / strengthening core operations

Suitability: Strengthening domestic operations and virtual depots is suitable because it reinforces existing capabilities and may reduce fixed-cost expansion. It also supports customer convenience and platform scalability.

Acceptability: This is likely more acceptable to staff and shareholders because it carries lower cross-border and safety risk. However, it may generate slower growth and may not deliver the strategic excitement of a GCC pilot.

Feasibility: Feasibility is relatively high because KMCH already has a platform and telematics capability, though manual workarounds and inconsistent reporting must be fixed first.

Recommendation

KMCH should prioritise strengthening core operations and platform capability, approve motorcycle tours only after route safety and insurance conditions are met, and treat the GCC opportunity as a controlled pilot subject to positive financial appraisal and due diligence. It should not attempt all major initiatives simultaneously without treasury capacity and people capability.

Question 1(c) - Strategic capability and value-chain assessment (8 marks)

KMCH has useful strategic assets, but the appendices show important capability gaps. The Board should test whether the company's resources and value chain can support the proposed growth options without weakening service quality.

- **Brand and customer trust:** KMCH has a premium reputation in Karachi and Lahore. This supports domestic tours and hotel/corporate opportunities, but brand strength will not automatically transfer to the GCC. Local credibility and partner quality will matter.
- **Fleet and maintenance:** Telematics has reduced unscheduled downtime, but motorcycles and long routes require stricter inspection, preventive maintenance, spare parts planning and emergency support. Older vehicles or incomplete paperwork create unacceptable safety risk.
- **Digital platform:** The platform supports licence validation, GPS tracking and handover photos. However, pre-seen workarounds and inconsistent depot reporting indicate that systems need integration and better data governance before international or subsidiary scaling.
- **People capability:** Exit interviews highlight training, progression and inconsistent practices. GCC operations, motorcycle tours and a Mobility Services carve-out require stronger technical, customer-service, safety and leadership capability.
- **Regulatory capability:** KMCH understands Sindh and Punjab requirements. Northern tourism and GCC operations add permits, guide compliance, local labour rules, insurance and tax complexity.
- **Partner management:** Repair-vendor experience is useful, but overseas operators and tour partners need stronger contracts, SLAs, reporting, audit rights and escalation mechanisms.

Capability gaps to address before implementation include international compliance expertise, tour safety capability, training infrastructure, cyber/data governance, partner management, risk reporting and segment-level financial information. These gaps do not make growth impossible, but they support phased implementation rather than immediate full rollout.

Question 2(a) - GCC opportunity: parent-company NPV, valuation and synergies (18 marks)

Step 1: Net operating cash flows of GulfGate

The base free cash flows are already after local corporate tax. Synergies are pre-tax and should therefore be tax-adjusted at 9%. Integration / restructuring costs are tax deductible, so they are shown net of the 9% tax saving.

AED million	Y1	Y2	Y3	Y4	Y5
Base FCF after local tax	1.600	1.900	2.200	2.500	2.700
Synergy after 9% local tax	0.273	0.455	0.637	0.728	0.819
Integration / restructuring cost after tax	(0.182)	(0.182)	(0.091)	-	-
Net FCF of GulfGate	1.691	2.173	2.746	3.228	3.519
KMCH 60% share	1.015	1.304	1.648	1.937	2.111

Step 2: Parent-company cash flows from annual remittances

Only 70% of annual distributable cash is expected to be remitted each year. A 5% withholding / remittance deduction is applied to the cash remitted to Pakistan. The remaining 30% is retained locally and assumed to be released at exit in Year 5.

Rs million	Y1	Y2	Y3	Y4	Y5
KMCH share of FCF (AED m)	1.015	1.304	1.648	1.937	2.111
70% remitted (AED m)	0.710	0.913	1.153	1.356	1.478
After 5% WHT/remittance deduction (AED m)	0.675	0.867	1.096	1.288	1.404
Forecast AED/PKR rate	80	83	86	89	92
Annual remittance received in Pakistan (Rs m)	54.0	72.0	94.2	114.6	129.2

Step 3: Terminal value and release of retained local cash

Item	Calculation	AED million / Rs million
Whole business terminal enterprise value	Year 5 EBITDA AED 3.6m x 6.0	AED 21.600m
Less expected local debt	Given	(AED 2.000m)
Whole business equity value before exit costs	21.600 - 2.000	AED 19.600m
Less exit costs / taxes at 2%	19.600 x 2%	(AED 0.392m)
Whole business net equity value	19.600 - 0.392	AED 19.208m
KMCH 60% share	19.208 x 60%	AED 11.525m
After 5% remittance deduction and conversion at Rs 92	11.525 x 95% x 92	Rs 1,007.3m
Release of retained annual cash at exit	30% retained cash x 95% x Rs 92	Rs 210.1m

Step 4: Parent-company NPV in Pakistani rupees

Rs million	Y0	Y1	Y2	Y3	Y4	Y5
Annual remittance received	-	54.0	72.0	94.2	114.6	129.2
Terminal value received	-	-	-	-	-	1,007.3
Release of retained	-	-	-	-	-	210.1

cash						
Total parent cash flow	(739.2)	54.0	72.0	94.2	114.6	1,346.6
Discount factor at 18%	1.000	0.847	0.718	0.609	0.516	0.437
Present value	(739.2)	45.7	51.7	57.3	59.1	588.6

Initial outflow = purchase price AED 8.2m + transaction/advisory costs AED 0.4m + integration investment AED 1.0m = AED 9.6m x Rs 77 = Rs 739.2m.

Total PV of inflows = Rs 802.5m. NPV = Rs 802.5m - Rs 739.2m = approximately Rs 63.3m positive.

Valuation cross-check

Item	Calculation	AED million
Maintainable EBITDA	Given	2.100
Enterprise value - low	2.100 x 5.0	10.500
Enterprise value - high	2.100 x 6.5	13.650
Less existing local debt	Given	(1.500)
Equity value range	EV less debt	9.000 to 12.150
Value of 60% stake	Equity value x 60%	5.400 to 7.290
Proposed purchase price for 60%	Given	8.200

Interpretation and recommendation

The financial appraisal should not be interpreted only by looking at the headline NPV. The proposed GCC opportunity has three separate value drivers:

- the standalone operating cash flows from the overseas business;
- the value of expected synergies with KMCH's existing platform, brand and fleet-management expertise; and
- the strategic value of creating a first international reference market.

Based on the calculation, the project appears financially acceptable. However, the Board should recognise that the result is sensitive to assumptions that are outside KMCH's normal Pakistan-based operating experience. These include local market demand, airport / hotel partnership conversion, local labour and insurance cost, compliance requirements, exchange-rate movements and the ability to repatriate cash to Pakistan.

A valuation based on EBITDA or maintainable earnings gives an indication of what the business may be worth based on its current operating performance, but it does not automatically justify paying the full asking price. The target may require integration investment, system upgrades, brand alignment, staff training and stronger controls.

The synergy benefits should not be treated as guaranteed. Some synergies, such as using KMCH's booking platform, pricing analytics, procurement capability and corporate-client relationships, may be realistic if the target's systems and management team are cooperative. Other synergies, such as rapid revenue growth from cross-selling or immediate cost savings, may be more uncertain. In particular, revenue synergies are usually harder to achieve than cost synergies because they depend on customer behaviour, brand acceptance and local competition.

The exchange-rate element is particularly important. Even if the overseas operation is profitable in local currency, the return to KMCH depends on the exchange rate at which cash flows are converted and remitted to

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Pakistan. If the Pakistani rupee depreciates against the foreign currency, remitted cash flows may increase in PKR terms; however, this benefit may be offset by higher acquisition cost, local inflation or funding costs. If remittances are delayed or partially restricted, the parent-company value of the project may be lower than the project-level value.

From a strategic perspective, the GCC opportunity may be attractive because it can diversify KMCH away from the Pakistan market, create a stronger regional mobility brand, support premium airport-transfer and chauffeur services, and provide a platform for future partnerships with hotels, airlines and corporate clients. It may also improve KMCH's credibility if the company later seeks institutional capital or expands its licensing model. However, international expansion could distract management from unresolved domestic priorities such as service consistency, staff capability, systems maturity and control discipline.

The acquisition route has advantages over organic entry because the target may already have local licences, customer relationships, staff, fleet access and market knowledge. This reduces start-up time and may lower regulatory and operational entry barriers. However, acquisition also creates risks of overpaying, inheriting hidden liabilities, poor-quality staff or fleet, weak controls, incompatible systems and cultural differences. These risks should be reflected either through a lower acquisition price, deferred consideration, warranties, indemnities or milestone-based payments.

The Board should therefore approve the project subject to following conditions:

- completion of commercial, financial, tax, legal and operational due diligence;
- validation of local market demand and pricing assumptions;
- confirmation of licences, insurance, labour-law and regulatory requirements;
- assessment of target fleet quality, maintenance records and hidden liabilities;
- confirmation of repatriation rules, withholding tax and double-tax implications;
- stress-testing of exchange rates, utilisation, margins and synergy delivery;
- agreement on a maximum purchase price based on conservative synergy assumptions;
- negotiation of warranties, indemnities and deferred / earn-out consideration;
- a clear integration plan for systems, reporting, brand standards and customer service

Overall, the GCC opportunity can be strategically valuable, but it should be treated as a controlled international pilot, not a full-scale overseas expansion. KMCH should commit only a limited amount of capital initially, set measurable milestones, and expand further only after the overseas business demonstrates stable utilisation, service quality, regulatory compliance, cash repatriation and synergy delivery.

Question 2(b) - Carve-out of KMCH Mobility Services (14 marks)

The proposed carve-out should be assessed both strategically and financially. The subsidiary could improve accountability and scalability, but it may also create conflicts around brand ownership, transfer pricing, control and service quality.

Valuation using forecast free cash flows

Using the rupee discount rate of 17% and terminal growth rate of 4%, the indicative enterprise value can be calculated as follows:

Rs million	Y1	Y2	Y3	Y4	Y5
Forecast FCF before financing	95	135	180	220	260
Discount factor at 17%	0.855	0.731	0.624	0.534	0.456
PV of FCF	81.2	98.6	112.4	117.4	118.6

Item	Calculation	Rs million
Terminal value at end of Y5	$Y5 \text{ FCF } 260 \times 1.04 / (17\% - 4\%)$	2,080.0
PV of terminal value	$2,080.0 \times Y5 \text{ discount factor } 0.456$	948.7
PV of explicit FCFs	$81.2 + 98.6 + 112.4 + 117.4 + 118.6$	528.2
Indicative enterprise value	$528.2 + 948.7$	1,476.9

Comparison with investor indication

A possible minority investor has suggested investing Rs 450m for 20% if legal ownership of platform and franchise rights is clear. This implies a post-money value of Rs 2,250m and a pre-money value of Rs 1,800m. This is higher than the DCF value of approximately Rs 1,477m, so the offer could be financially attractive if the investor does not demand excessive control rights.

Strategic benefits of carve-out

- Clear accountability: A separate entity can own and manage the platform, franchise documentation, training content and brand standards, making performance easier to monitor.
- Scalability: Franchisees, overseas partners and internal depots can be charged under formal agreements, supporting future licensing or platform income.
- Investor readiness: A separate subsidiary may allow focused investment at subsidiary level without diluting the entire operating company.
- Better governance over intangible assets: Platform, brand manuals, data templates and franchise systems can be legally documented and protected.

Risks and control concerns

- Transfer pricing and conflicts: Fees charged to KMCH depots and franchisees must be arm's length and not distort operating company profitability.
- Brand control: If the subsidiary controls brand guidelines but operating depots deliver the service, poor coordination could damage customer experience.
- Legal and tax risk: The fair value of transferred assets and IP must be supported. Transfers below fair value may be challenged, while fair-value transfers may create tax exposure.
- Minority investor risk: A 20% investor may request veto rights, exit rights or influence over technology and licensing strategy. KMCH must retain strategic control over brand, pricing boundaries and service standards.

Capital structure

The proposed Rs 400m equity and Rs 350m intercompany loan at 14% gives the subsidiary a material debt obligation from the start. The interest charge could discipline cash flows, but excessive intercompany debt may reduce flexibility while the platform is scaling. A balanced structure is preferable: sufficient equity to absorb early cash-flow volatility and intercompany debt only to the extent serviceable from forecast FCFs.

Conclusion

The carve-out should proceed only if legal ownership, service-level agreements, tax treatment, transfer pricing, control rights and Board reserved matters are agreed before implementation. On valuation grounds, the minority investor indication appears attractive, but KMCH should not admit an investor until the subsidiary's governance and rights over IP/platform assets are clear.

Question 2(c) - Funding and treasury discipline (6 marks)

KMCH should not commit simultaneously to the GCC pilot, motorcycle-tour expansion and the carve-out without clear treasury discipline. Individually, each proposal may be defensible; collectively, they may create liquidity pressure, management overload and covenant risk.

- Set a minimum cash buffer: The Board should approve a minimum liquidity reserve to cover payroll, debt service, repairs, insurance, tax payments and unexpected vehicle downtime. Growth spending should not reduce cash below this threshold.
- Stage commitments: GCC acquisition, motorcycle expansion and Mobility Services carve-out should be phased with go / no-go gates rather than approved as one package.
- Ring-fence project budgets: Each project should have a separately approved budget, contingency allowance and responsible executive. Overspends should require Board or Finance Director approval.
- Protect debt covenants and interest cover: New borrowing or intercompany funding should be tested against interest cover, gearing and cash-flow stress scenarios.
- Match funding to risk: Foreign currency exposure should be funded partly from foreign currency cash flows where possible. Long-term platform assets should not be financed with short-term overdrafts.
- Post-investment review: Actual cash flows and benefits should be compared with approved business cases before releasing further funds.

The Board should approve a funding hierarchy: protect core liquidity first, fund compliance/safety requirements before expansion, and release discretionary growth funds only after due diligence and milestone approval.

Question 3(a) - Tax implications of GCC opportunity and carve-out (12 marks)

Specialist tax advice will be required, but the Board should understand the main tax areas before approving the GCC opportunity and the KMCH Mobility Services carve-out.

GCC opportunity

- Local corporate tax: GulfGate will pay local corporate tax on taxable profits. The free cash flows used in the appraisal are after local tax, but due diligence should confirm the tax base, disallowable expenses and any local compliance exposures.
- Withholding / remittance tax: Cash remitted to Pakistan may suffer withholding tax or a remittance deduction. The appraisal includes 5%, but the actual rate depends on the legal form of remittance, local law and any applicable treaty.
- Pakistan taxation of foreign income: As a Pakistan resident company, KMCH may be taxable on foreign-source income under the Income Tax Ordinance, 2001. Foreign tax credit may be available under section 103 subject to documentation and limits. The character of receipts matters: dividends, service fees, royalties and management charges may be treated differently.
- Transfer pricing: Charges by KMCH for brand, platform, training, management support or data analytics should be at arm's length. Section 108 of the Income Tax Ordinance allows tax authorities to adjust transactions between associates if not at fair market value.
- Permanent establishment / local presence: If KMCH staff or systems create a taxable presence in the GCC market, additional filing and tax obligations may arise. Contracts should define whether services are provided from Pakistan or locally.
- Deductibility and documentation: Integration costs, advisory fees and cross-border support costs should be reviewed to determine whether they are deductible, capital in nature or should be included in acquisition cost.

Carve-out of KMCH Mobility Services

- Transfer of assets / intangibles: The platform modules, brand manuals, franchise documentation, data templates and IT assets have carrying amount of Rs 180m and fair value of Rs 420m, with additional indicative brand / know-how value of Rs 650m. Transfer values must be supportable; undervaluation may be challenged, while fair-value transfer may create taxable gains.
- Depreciation / amortisation: Future tax depreciation or amortisation on transferred tangible assets, software or intangibles should be confirmed under the Income Tax Ordinance, including whether assets fall under depreciation rules or intangible amortisation provisions.
- Intercompany loan interest: The Rs 350m intercompany loan at 14% should be arm's length. Interest income and expense treatment, withholding obligations and thin-capitalisation / deductibility limits, if applicable, should be reviewed.
- Platform support fees / royalties / technology fees: Charges to KMCH depots and franchisees must be supported by service-level agreements and benchmarking. They should not be used merely to shift profits between entities.
- Sales tax / provincial services tax: Treatment may differ depending on whether the charge is software access, technology support, brand royalty, management service or mobility service. Input tax may be restricted if related to exempt, reduced-rate or non-taxable activities.
- Data and customer lists: Transfer or use of customer data should be legally valid and documented. Tax value, ownership and privacy implications should be considered together.

Conclusion: The Board should require a complete tax structuring advice before signing any transaction documents. The commercial objective should drive the structure, but the tax treatment must be modelled so that hidden taxes do not undermine the investment case.

Question 3(b) - Employee learning and development framework (8 marks)

The exit-interview feedback should not be treated as an isolated HR issue. It is evidence of capability weakness at a time when KMCH is considering more complex operations: GCC services, a Mobility Services subsidiary and motorcycle adventure tours. A formal learning and development framework is therefore needed.

- Training needs analysis: KMCH should identify capability gaps by role: depot staff, guides, drivers, call-centre teams, finance teams, IT/platform teams, supervisors and managers. Training should be linked to the growth options, not generic classroom sessions.
- Customer-service and complaint handling: Staff should be trained to handle premium customers, tourists, corporate clients, refunds, disputes and service recovery consistently across depots.
- Digital and systems capability: Training should cover telematics, licence verification, handover photographs, platform reporting, data quality, cyber awareness and exception escalation.
- Safety and compliance training: Motorcycle guides and operations staff need route safety, emergency response, vehicle inspection, insurance conditions, customer briefing and incident reporting training before tours are expanded.
- International and cultural readiness: GCC-facing staff should be trained on hospitality expectations, service punctuality, cultural sensitivity, local compliance and partner coordination.
- Career progression and retention: Exit interviews indicate concerns about progression. KMCH should define career paths, certification levels, internal promotion criteria and supervisory development to reduce turnover.
- Manager capability: Depot supervisors should receive leadership, coaching, rota fairness, performance feedback and conflict-management training because inconsistent practices appear to be a recurring issue.
- Measurement and accountability: Training completion alone is not enough. KMCH should track post-training performance: complaints, safety incidents, service errors, staff turnover, audit findings and customer ratings.

The framework should be sponsored by the Board and linked to strategic projects. KMCH should not launch high-risk or international initiatives unless the people capability required to deliver them is demonstrably in place.

Question 3(c) - Ethical and licence-to-operate issue in motorcycle tourism (8 marks)

The Board should not approve the expanded motorcycle-tour schedule merely because demand is strong. Launching before route safety, insurance, emergency response, guide refresher training and inspection documentation are complete would create ethical, legal and reputational risk.

Key issues

- Duty of care: KMCH owes customers a duty to provide safe vehicles, competent guides, appropriate route planning and emergency support. Adventure tourism is inherently higher risk, which increases the standard of care expected.
- Misleading marketing: Advertising tours as premium and safe while key safety documentation is incomplete could mislead customers and expose KMCH to reputational and legal consequences.
- Insurance and liability risk: If insurance confirmations are incomplete, KMCH may face uninsured losses or disputed claims in the event of an accident.
- Employee pressure: Guides and depot staff should not be pressured to operate tours without proper training, equipment, route briefings and escalation arrangements.
- Licence-to-operate: Regulators and local communities may respond negatively if KMCH is seen to prioritise revenue over tourist safety and compliance.

Recommended Board response

- Approve the tour expansion only after minimum safety conditions are satisfied: route risk assessments, insurance confirmation, emergency-response arrangements, guide refresher training and vehicle inspection documentation.
- Permit only a limited pilot on routes that are fully assessed and supported; postpone longer or overnight packages until readiness is proven.
- Require the Operations Director to submit a safety readiness certificate and risk register before launch.
- Escalate concerns from the HR Director and non-executive director to the Board minutes, showing that dissenting concerns were considered properly.
- Align incentives so that managers are not rewarded only for tour revenue or occupancy, but also for safety, complaints, incidents and compliance.
- Communicate transparently with customers about route requirements, safety briefings, insurance terms and customer responsibilities.

The ethical conclusion is clear: KMCH should not sacrifice safety controls for short-term seasonal revenue. A delayed but controlled launch is preferable to a rushed launch that could harm customers and permanently damage the KMCH brand.